



Prepare 50% Faster

Study Notes

Direct & Indirect Tax

Introduction

- Tax is a mandatory fee imposed upon individuals or corporations by the Central and the State Government to help build the economy of a country by meeting various public expenses.
- It is also one of the most effective way for the Government to influence the aggregate demand in the economy.
- During inflation, the Government increases the tax rates to reduce the money supply in the economy, which in turn controls the inflationary gap.
- Whereas, during deflation, the Government reduces the tax rates, which leads to increase in money supply in the economy to control the deflationary gap.
- The two broad categories of taxes are **Direct and Indirect taxes**.

Direct Taxes

- The tax that is levied by the government directly on the individuals or corporations are called Direct Taxes.
- The incidence and impact of the direct tax fall on the same person.
- The Central Board of Direct Taxes is responsible for levying and collecting direct taxes as well as formulating other direct tax policies in India.
- A taxpayer pays a government a direct tax for a variety of reasons, such as real property tax, personal property tax, income tax or asset taxes, Gift Tax, Capital Gains Tax, and so on.
- Direct Tax is one of the two main sources of revenue for the government. The indirect tax is the other.

Merits

- 1)Can be selected and their rate structure be so designed which is closely related to ability to pay principle
- 2)Are important instrument of deducing inequalities of income and wealth. They don't cause distortion in the allocation of resources i.e.; they don't affect relative prices of goods and services as a result resource allocation among industries remain unchanged
- 3)Revenue elasticity of direct taxes (especially progressive taxes) is quite high and curbs inflation

Demerits

- 1)May reduce supply of work effort
- 2)Reduce incentive to save and invest
- 3)Corporate Income taxes adversely affect investment

Indirect Taxes

- An indirect tax is a tax that is collected through a middleman from the person who suffers the tax's ultimate economic burden.
- It is possible for the taxpayer to transfer it to someone else.
- The intermediary prepares a tax return and sends the tax proceeds to the government along with it.
- Indirect taxes are based on an individual's expenses rather than their income.
- Indirect taxes are levied on suppliers of goods and services, but the tax is passed on to the consumers, who are indirectly paying the tax.
- Some examples of Indirect Taxes are- Customs Duty and Goods & Services Tax (GST).

Merits

- 1) Convenient to pay and less cumbersome
- 2) Large revenue Potential
- 3) Important for influencing pattern of production and investment

Demerits

- 1) Indirect taxes are regressive
- 2) Indirect taxes are inflationary
- 3) Excess burden of indirect taxes or inefficiency of resource allocation

Direct tax vs. Indirect Tax

Basis	Direct Tax	Indirect Tax
Meaning	The tax that is levied by the government directly on the individuals or corporations are called Direct Taxes.	The tax that is levied by the government on one entity (Manufacturer of goods), but is passed on to the final consumer by the manufacturer.
Incidence	The incidence and impact of the direct tax fall on the same person.	The incidence and impact of the tax fall on different persons.
Examples	Income Tax, Corporation Tax and Wealth Tax.	VAT, Service tax, GST, Excise duty, entertainment tax and Customs Duty.
Nature	They are progressive in nature.	They are regressive in nature.

Objective	Both Social and Economical. Social objective of direct tax is the distribution of income. A person earning more should contribute more in the provision of public service by paying more tax. This provision is also known as progressive taxation.	Only Economical. When an indirect tax is levied on a product, both rich and poor must pay at the same rate. A person earning 10 lakh a month pays the same tax on the Wheat purchase as the person earning 3000 Re a month. This principle is called regressive taxation.
Impact	Not at all Inflationary.	Is inflationary.

Laffer Curve

- It is a theory developed by Arthur Laffer.
- It shows relationship between tax rates and the amount of tax revenue collected by government.
- Laffer Curve suggest that raising the tax rate up to a certain limit will increase the tax revenue.
- After which any rise in the tax rate will decrease the tax revenue.
- Because, at high tax rate will discourage the taxed activities, such as work and investment.
- Laffer curve shows the two extremes point of tax rate, 0% and 100%.
- At both of these rates no tax revenue will be generated.
- At a 0% tax rate, tax revenue will be zero. As no tax impose, no revenue.
- At 100 % tax rate, all people would choose not to work because everything they earned would go to the government.
- Therefore, is a point lying in between 0 to 100% range, where tax revenue is maximum (R_{max}) (say t^*) i.e., known as optimum tax rate
- Any rate higher or lower than that will lower the tax revenue
- If government wants to increase tax revenue, it will choose optimum tax rate.

